The Destruction of Social Capital and Family Flight: Evidence from Casino Openings

Malcolm Kass* John Soriano†

March 24, 2026

Abstract

Casino development is often promoted as an engine of local economic growth, but its broader social consequences remain less understood. This paper investigates how casino openings reshape demographic patterns and family-supporting institutions in U.S. counties from 2003 to 2023. Exploiting staggered treatment timing in a difference-in-differences framework, we document consistent evidence that casinos erode community structures. We estimate a 1.28 percentage point decline in fertility rates for women, tied to an estimated drop of 55 children per 1000 women and 26 children per 1000 men. These effects are not a result of new movers to the community where a new casino opened. These demographic shifts are mirrored in weakened religious institutions: religious adherence declines by an estimated 9.5 percentage points, particularly in Catholic communities. The results demonstrate that casinos generate possible social capital losses alongside their economic activity, altering the composition of local populations and undermining religious institutions historically central to family and community life.

*University of Dallas, Department of Economics. Email: mkass@udallas.edu
†University of Dallas, Department of Economics. Email: jsoriano@udallas.edu

1 Introduction

Table **??**

Table 1: Summary Statistics by County Type

	(1) Casino Counties		(2) Nearby Counties		(3) Control Counties	
	mean	sd	mean	sd	mean	sd
married	0.320	0.467	0.332	0.471	0.380	0.485
has_children	0.362	0.481	0.381	0.486	0.410	0.492
num_children	0.707	1.120	0.771	1.178	0.824	1.185
female	0.503	0.500	0.493	0.500	0.495	0.500
age	29.166	6.535	29.050	6.648	29.046	6.686
white	0.631	0.483	0.682	0.466	0.708	0.454
black	0.215	0.411	0.138	0.345	0.131	0.338
hispanic	0.203	0.402	0.233	0.422	0.175	0.380
N	391117		486467		15972212	

Notes: Individual-level statistics weighted by person weights. Sample includes individuals aged 18-40.

2 Population Effects

We begin by documenting population effects across age groups. Table **??**
Figure 1

Table 2: Population Effects by Age Group

	Total Pop	Child-Rearing	Children	School-Age
	(1)	(2)	(3)	(4)
	ln_total_pop	ln_child_rearing_pop	ln_children_pop	ln_school_age_pop
t-3	-0.042**	-0.032*	-0.055***	-0.059***
	(0.017)	(0.018)	(0.021)	(0.022)
t-2	0.010*	0.002	0.015	0.017*
	(0.006)	(0.013)	(0.009)	(0.010)
t	0.002	-0.005	-0.009	-0.009
	(0.006)	(0.012)	(0.009)	(0.009)
t+1	-0.011	-0.015	-0.014	-0.014
	(0.009)	(0.015)	(0.012)	(0.012)
t+2	-0.021**	-0.011	-0.026*	-0.025*
	(0.009)	(0.013)	(0.013)	(0.014)
t+3	-0.023**	-0.003	-0.027*	-0.033**
	(0.012)	(0.017)	(0.016)	(0.016)
t+4	-0.026**	-0.009	-0.033**	-0.038**
	(0.013)	(0.017)	(0.017)	(0.017)
t+5	-0.029**	-0.017	-0.039**	-0.043**
	(0.013)	(0.019)	(0.017)	(0.018)
t+6	-0.031**	-0.016	-0.047**	-0.051**
	(0.015)	(0.021)	(0.019)	(0.020)
t+7	-0.038**	-0.019	-0.050**	-0.052**
	(0.015)	(0.021)	(0.020)	(0.021)
t+8+	-0.030	-0.003	-0.040*	-0.046*
	(0.020)	(0.024)	(0.024)	(0.026)
Observations	6,686	6,686	6,686	6,686
R-squared	0.993	0.991	0.992	0.991

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Donut sample excludes nearby counties. All variables in logs.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

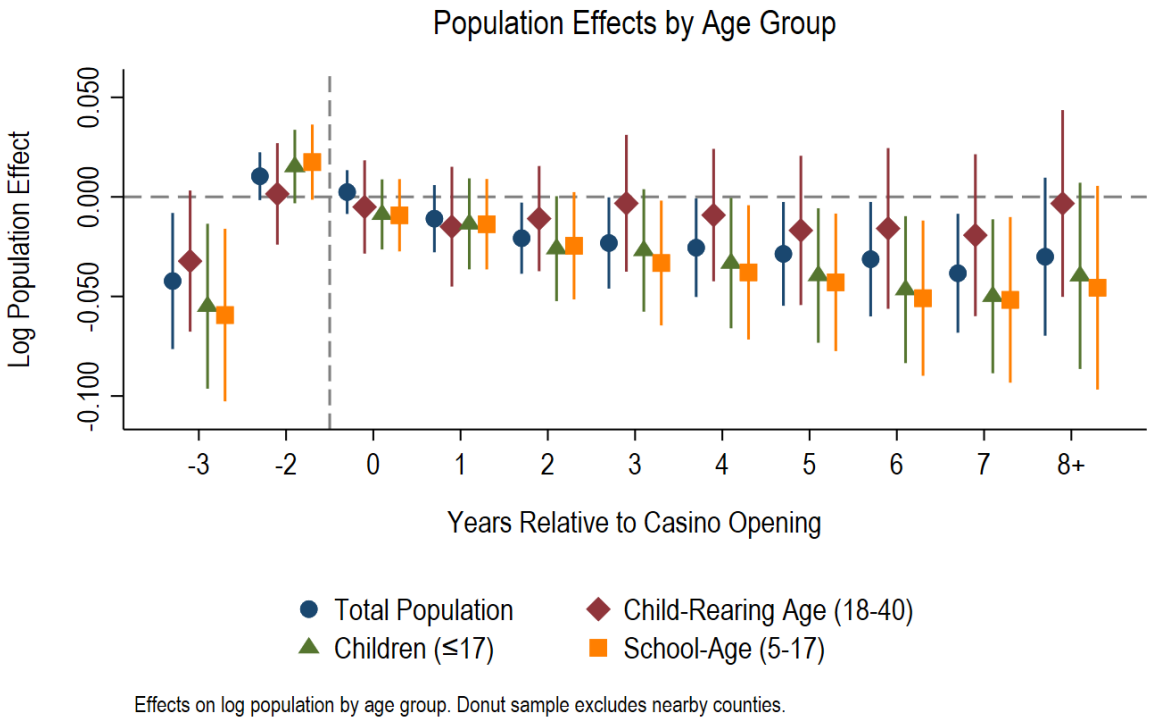


Figure 1: Population Effects by Age Group

Table **??** presents difference-in-differences results for marriage, childbearing, and fertility by gender.

Table 3: Family Formation Effects by Gender

	Women			Men		
	(1) Marriage	(2) Has Children	(3) Num Children	(4) Marriage	(5) Has Children	(6) Num Children
post_treatment	0.0081*	-0.0090*	-0.0311***	0.0019	-0.0110**	-0.0353***
	(0.0043)	(0.0048)	(0.0098)	(0.0057)	(0.0050)	(0.0090)
Observations	7,414,164	7,414,164	7,414,164	7,506,358	7,506,358	7,506,358
R-squared	0.208	0.272	0.243	0.220	0.229	0.206

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

All regressions include county and year fixed effects, age and age squared.

Donut sample excludes nearby counties. *** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Figure 2 shows these fertility effects emerge immediately after casino opening and persist throughout our observation window.

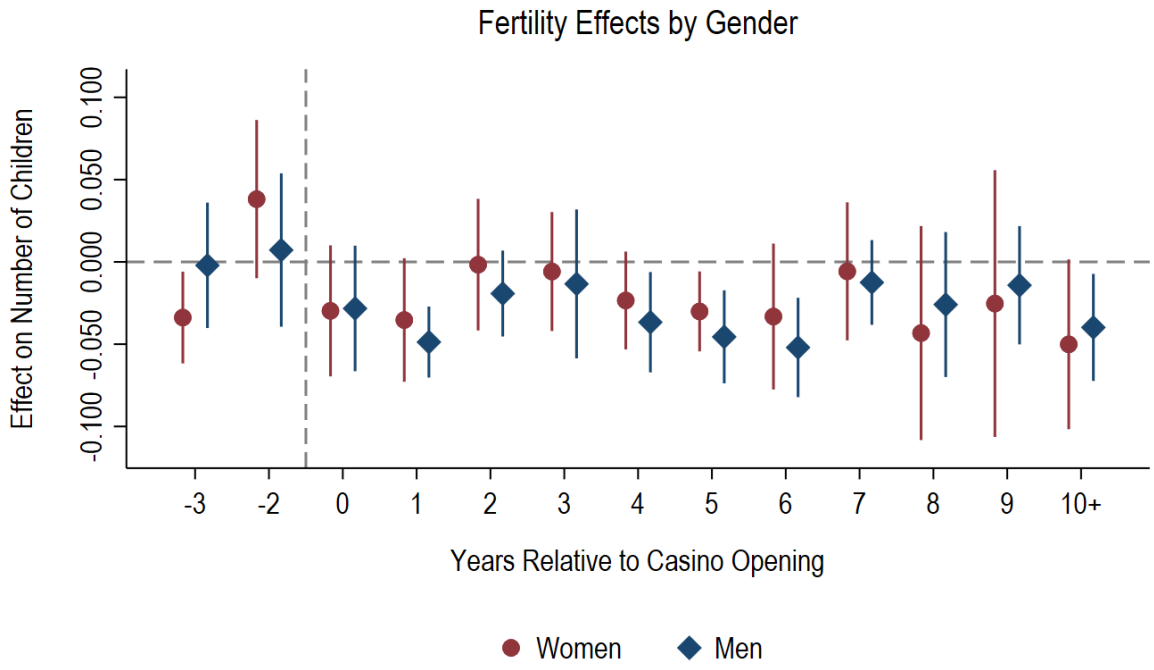


Figure 2: Fertility Effects by Gender

Table **??**
Figure 3

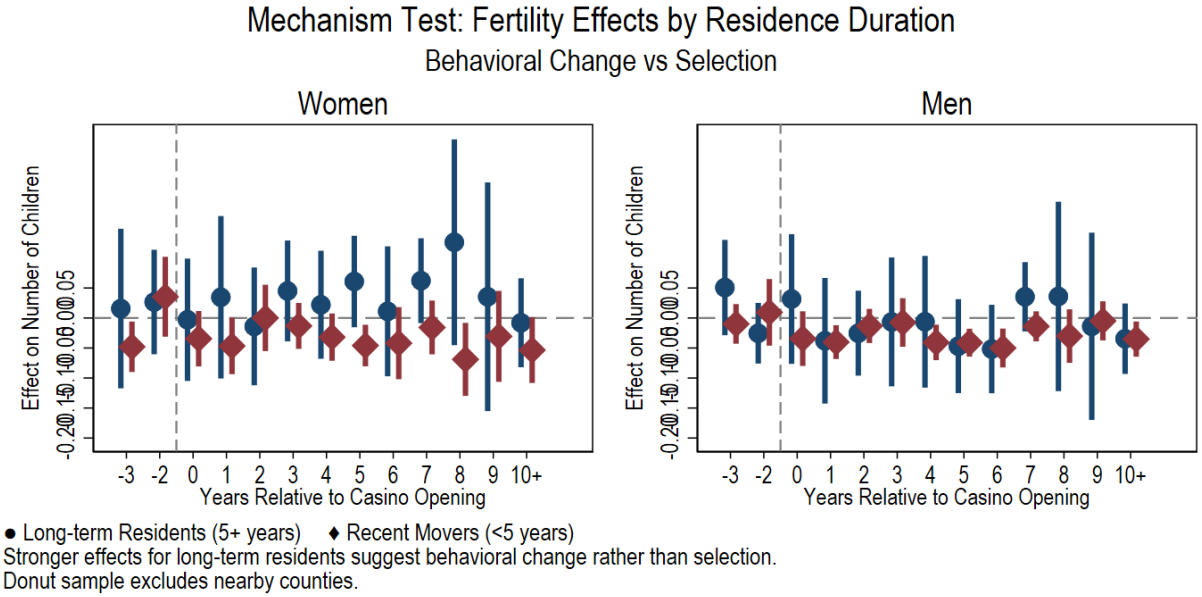


Figure 3: Mechanism Test: Fertility Effects by Residence Duration

Table 4: Effects by Residence Duration: Number of Children

	Women		Men	
	(1)	(2)	(3)	(4)
	Long-term (5+)	Recent (¡5)	Long-term (5+)	Recent (¡5)
-3	0.016	-0.048**	0.051	-0.010
	(0.068)	(0.021)	(0.040)	(0.017)
-2	0.027	0.035	-0.025	0.009
	(0.044)	(0.034)	(0.026)	(0.028)
0	-0.003	-0.035	0.032	-0.034
	(0.052)	(0.023)	(0.055)	(0.023)
1	0.035	-0.047*	-0.038	-0.040***
	(0.069)	(0.024)	(0.053)	(0.014)
2	-0.014	0.000	-0.025	-0.013
	(0.050)	(0.028)	(0.036)	(0.014)
3	0.045	-0.013	-0.007	-0.007
	(0.043)	(0.019)	(0.055)	(0.021)
4	0.022	-0.032	-0.006	-0.041***
	(0.046)	(0.020)	(0.056)	(0.015)
5	0.061	-0.046***	-0.047	-0.041***
	(0.039)	(0.018)	(0.040)	(0.012)
6	0.011	-0.042	-0.052	-0.050***
	(0.055)	(0.031)	(0.038)	(0.016)
7	0.062*	-0.016	0.035	-0.014
	(0.036)	(0.023)	(0.029)	(0.013)
8	0.126	-0.069**	0.036	-0.030
	(0.087)	(0.031)	(0.080)	(0.023)
9	0.035	-0.031	-0.014	-0.005
	(0.097)	(0.039)	(0.079)	(0.017)
10+	-0.008	-0.053*	-0.035	-0.035**
	(0.038)	(0.028)	(0.030)	(0.015)
Observations	1,077,897	4,685,624	992,675	4,864,875
R-squared	0.135	0.235	0.151	0.174

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Long-term = 5+ years in residence, Recent = ¡5 years in residence.

Donut sample excludes nearby counties. *** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

To further validate our interpretation, Table **??**

2.1 School Effects

Table **??**

2.2 Religious Effects

Table **??** examines effects on religious adherence using four specifications. Our preferred specification with state-year fixed effects reveals a 9.5% decline in religious adherence, suggesting casinos weaken an important family-supporting institution.

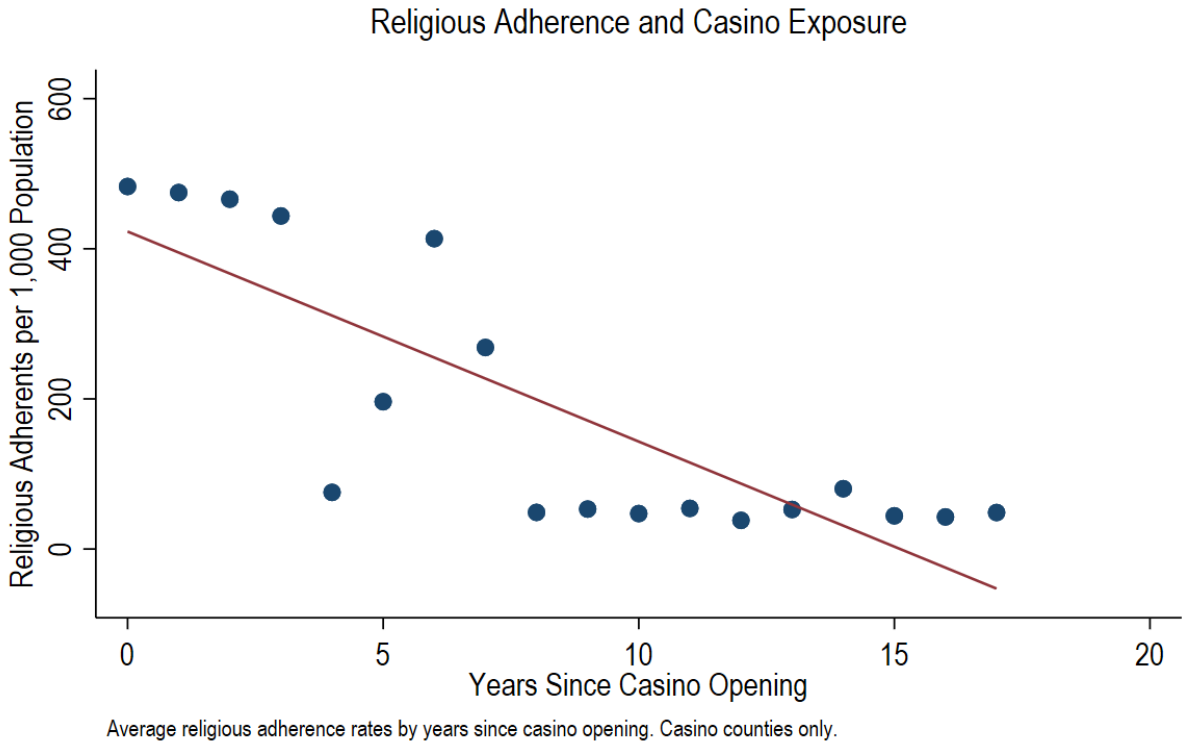


Figure 4: Mechanism Test: religious exposure

Table **??**

Figure 5 shows the relationship between religious adherence and years since casino opening, revealing a clear negative correlation consistent with our regression results.

Table 5: Population Composition Tests

	(1) Log Short-term Population	(2) Short-term Population Share
-3	-0.027	-0.001
	(0.029)	(0.014)
-2	-0.043	-0.029
	(0.033)	(0.020)
0	0.020	0.014
	(0.039)	(0.014)
1	0.037	0.014
	(0.047)	(0.018)
2	0.024	-0.001
	(0.031)	(0.013)
3	0.053	0.003
	(0.035)	(0.011)
4	0.027	-0.002
	(0.043)	(0.014)
5	0.068	0.018
	(0.041)	(0.018)
6	0.036	-0.009
	(0.038)	(0.015)
7	0.056	0.010
	(0.036)	(0.014)
8	0.088***	0.011
	(0.031)	(0.014)
9	0.077**	0.020
	(0.037)	(0.017)
10+	0.062	0.006
	(0.048)	(0.016)
Observations	6,264	6,264
R-squared	0.990	0.609

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Tests whether casinos affect size/composition of short-term resident population.

Long-term = 5+ years in residence. Donut sample excludes nearby counties.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 6: School Population and Enrollment Effects

	(1) School-Age Pop	(2) Total Enrollment	(3) Public Enrollment
t-3	-0.059***	-0.058**	-0.043*
	(0.022)	(0.023)	(0.023)
t-2	0.017*	0.015	0.029***
	(0.010)	(0.009)	(0.011)
t	-0.009	-0.006	-0.001
	(0.009)	(0.010)	(0.012)
t+1	-0.014	-0.009	0.005
	(0.012)	(0.013)	(0.015)
t+2	-0.025*	-0.023	-0.004
	(0.014)	(0.015)	(0.018)
t+3	-0.033**	-0.032*	-0.013
	(0.016)	(0.017)	(0.019)
t+4	-0.038**	-0.041**	-0.018
	(0.017)	(0.018)	(0.020)
t+5	-0.043**	-0.044**	-0.021
	(0.018)	(0.018)	(0.021)
t+6	-0.051**	-0.048**	-0.019
	(0.020)	(0.021)	(0.022)
t+7	-0.052**	-0.049**	-0.032
	(0.021)	(0.022)	(0.024)
t+8+	-0.046*	-0.046*	-0.019
	(0.026)	(0.027)	(0.026)
Observations	6,686	6,686	6,686
R-squared	0.991	0.991	0.990

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

All variables in logs. School-age = 5-17 years.

Donut sample excludes nearby counties. *** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 7: Religious Adherence Effects

	(1) Baseline	(2) Medium Religious	(3) State-Year FE	(4) Differenced
post_treatment	-6.443	-29.238**	-39.958***	
	(17.742)	(13.151)	(14.351)	
Observations	9,418	3,139	9,415	6,275
R-squared	0.932	0.974	0.960	0.825

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Dependent variable: religious adherents per 1,000 population.

Medium Religious = counties in middle tercile of 2000 adherence.

State-Year FE preferred specification. *** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 8: Religious Effects by Denomination

	Catholic		Evangelical		Mainline		South
	(1) Baseline	(2) State-Yr FE	(3) Baseline	(4) State-Yr FE	(5) Baseline	(6) State-Yr FE	(7) Baseline
post_treatment	-73.206***	-59.441***	52.966***	18.803***	24.650***	13.144***	42.734***
	(25.604)	(13.058)	(7.542)	(4.447)	(6.110)	(3.816)	(5.320)
Observations	9,232	9,229	9,398	9,395	9,387	9,384	8,105
R-squared	0.811	0.922	0.796	0.926	0.811	0.917	0.742

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Dependent variables: denomination adherents per 1,000 population.

Baseline = county + year FE. State-Yr FE = county + state-year FE.

*** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

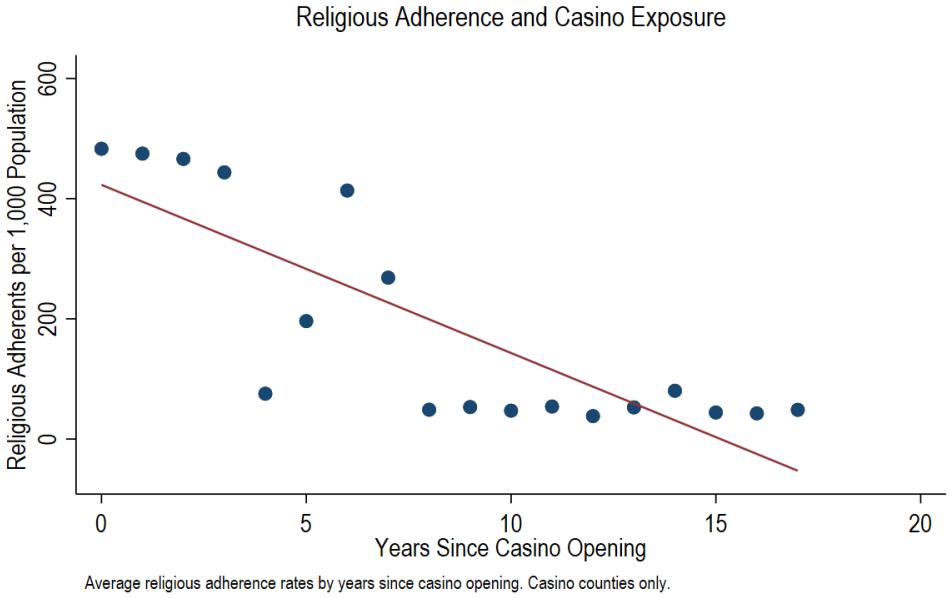


Figure 5: Religious Adherence and Casino Exposure

3 Robustness: Spillover Effects

Table **??**

Table 9: Spillover Effects: Casino vs Nearby Counties

	(1) Fertility (W)	(2) Fertility (M)	(3) Child Pop	(4) Religious
Casino County × Post	-0.0299***	-0.0347***	-0.0206*	-6.4432
	(0.0097)	(0.0090)	(0.0111)	(17.7421)
Nearby County × Post	0.0000	0.0000	0.0000	0.0000
	(.)	(.)	(.)	(.)
Observations	7,656,870	7,750,119	9,160	9,418
R-squared	0.242	0.206	0.992	0.932

Standard errors in parentheses

Standard errors clustered at county level in parentheses.

Tests for spillover effects to nearby counties. Justifies donut design.

Reference group: control counties. *** p¡0.01, ** p¡0.05, * p¡0.1.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$